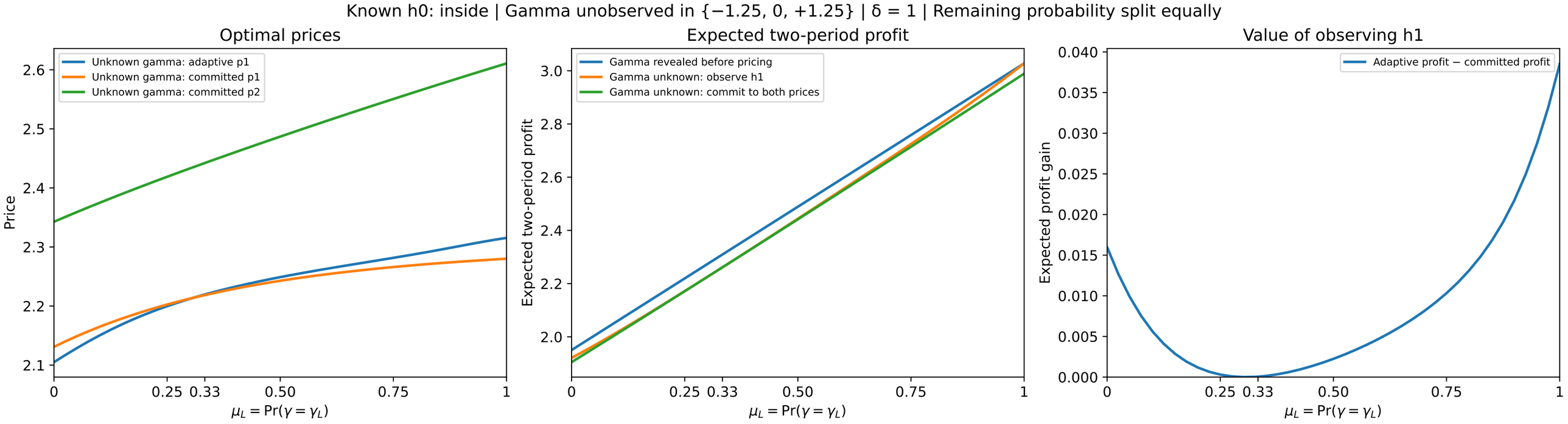
Known h0: inside | Gamma unobserved in {−1.25, 0, +1.25} | δ = 1 | Remaining probability split equally
Optimal prices
Unknown gamma: adaptive p1
Unknown gamma: committed p1
Unknown gamma: committed p2
Price
$\mu_L = \Pr(\gamma = \gamma_L)$
Expected two-period profit
Gamma revealed before pricing
Gamma unknown: observe h1
Gamma unknown: commit to both prices
Expected two-period profit
$\mu_L = \Pr(\gamma = \gamma_L)$
Value of observing h1
Adaptive profit − committed profit
Expected profit gain
$\mu_L = \Pr(\gamma = \gamma_L)$